

Nien Made Enterprise (8464 TT)

 Target price: **TWD515.00** (from TWD515.00)

 Share price (24 Jun): **TWD348.50** | Up/downside: **+47.8%**

5 4 3 2 1

 **Buy**
(unchanged)

Intact 2026 outlook

- Aiming for market-share gains in the following years
- Revenue momentum should heat up in 2H26 on capacity expansion
- Reaffirming our Buy (1) call; with an unchanged 12M TP of TWD515

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What's new: We recently received an update from management. Management maintains its target of gaining market share in the US, with potential to increase its coverage with a more vertically integrated model, including manufacturing and sales channels, to enhance its profitability. We remain positive on the stock due to its leading industry position and see higher market-share gain potential, on top of its solid execution capability vs. global peers, over the long term. We reaffirm our Buy (1) call.

What's the impact: Offering 2026 guidance. Nien Made targets to grow its custom-made revenue in the US by mid-single digit % YoY, custom-made in non-US markets by high-single digit % YoY and ready-made revenue by low-single digit % YoY in 2026. Management is confident that 2026 will deliver YoY revenue growth, despite 5M26 revenue falling 0.3% YoY. Management expects revenue momentum to accelerate momentum from June 2026, from the ramping up of new capacity.

Solid production execution to overcome macro uncertainty and gain share. Despite facing tariffs (vs. the current US tariff of 17.5%) since 2Q25, Nien Made has improved its gross margin since 2021, mainly due to efforts in manufacturing, retail, lean production and brand value. Nien Made implemented a price hike in February 2026, but still with 30-40% price gap vs. its key competitor, thus the company expects its market share gain story in the US to continue. The company will continue to work on the balance of share gains and profitability. Its phase-one construction has been delayed to September 2026, aiming to hire 1,000 persons vs. 1,700 headcount in Mexico and 4,200 headcount in Cambodia. Nien Made also uses a D2C model (Veneta.com) in European markets (ie, the Netherlands, Denmark and Belgium), which is one of the factors for its operating margin expansion. Besides, the company sees limited impact on gross margin from the PVC price hike. We trim our 2026-27E EPS by 1-4%, mainly on our more aggressive opex assumptions. We introduce our 2028 forecasts.

What we recommend: We reaffirm our Buy (1) call on Nien Made with an unchanged 12M TP of TWD515, still based on a target PER of 20x on our 1-year forward EPS vs. its past 3-year PER trading range of 11-21x. Key downside risks: lower-than-expected revenue from custom-made products and macro/tariff uncertainties.

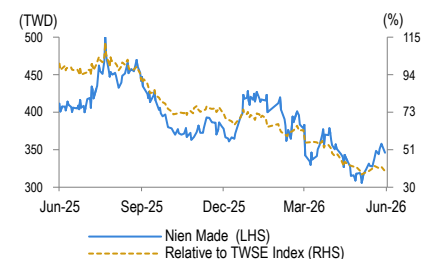
How we differ: Our 2026-28E EPS are 1-6% below Bloomberg consensus, likely as we are slightly more conservative on its operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	n.a.
Net profit change	(0.6)	(3.5)	n.a.
Core EPS (FD) change	(0.6)	(3.5)	n.a.

Source: Daiwa forecasts

Share price performance



12-month range	306.00-499.50
Market cap (USDbn)	3.22
3m avg daily turnover (USDm)	10.44
Shares outstanding (m)	293
Major shareholder	Nien family (44.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	31,719	33,609	35,651
Operating profit (m)	9,650	10,352	11,123
Net profit (m)	7,320	7,712	8,266
Core EPS (fully-diluted)	24.934	26.270	28.156
EPS change (%)	10.9	5.4	7.2
Daiwa vs Cons. EPS (%)	(1.3)	(5.3)	(5.7)
PER (x)	14.0	13.3	12.4
Dividend yield (%)	5.0	5.3	5.7
DPS	17.5	18.4	19.7
PBR (x)	3.1	2.9	2.6
EV/EBITDA (x)	7.9	7.2	6.5
ROE (%)	23.3	22.6	22.2

Source: FactSet, Daiwa forecasts

Nien Made: revisions to Daiwa's revenue and earnings forecasts

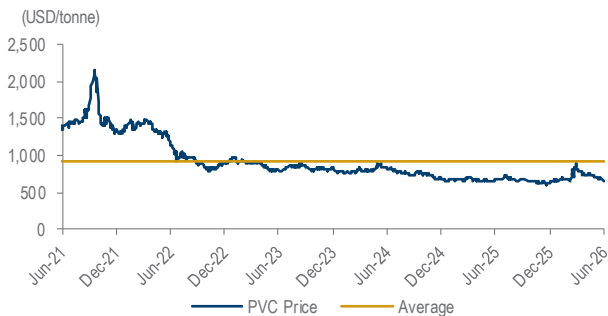
(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	31,719	31,719	0.0%	33,609	33,609	0.0%	35,651	n.a.	n.a.
Gross profit	18,849	18,849	0.0%	20,031	20,162	-0.7%	21,319	n.a.	n.a.
Gross profit margin	59.4%	59.4%	0pp	59.6%	60.0%	-0.4pp	59.8%	n.a.	n.a.
Operating profit	9,650	9,714	-0.7%	10,352	10,550	-1.9%	11,123	n.a.	n.a.
Operating profit margin	30.4%	30.6%	-0.2pp	30.8%	31.4%	-0.6pp	31.2%	n.a.	n.a.
Net profit	7,320	7,366	-0.6%	7,712	7,993	-3.5%	8,266	n.a.	n.a.
Net profit margin	23.1%	23.2%	-0.1pp	22.9%	23.8%	-0.8pp	23.2%	n.a.	n.a.
EPS (TWD)	24.93	25.08	-0.6%	26.27	27.22	-3.5%	28.16	n.a.	n.a.

Source: Daiwa forecasts

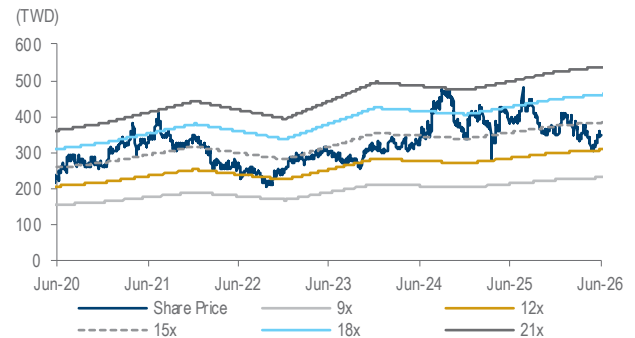
Nien Made: quarterly P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	7,305	7,809	8,200	8,404	7,741	8,275	8,689	8,905	31,719	33,609	35,651
Gross profit	4,317	4,639	4,879	5,014	4,590	4,924	5,196	5,322	18,849	20,031	21,319
Operating profit	2,053	2,339	2,569	2,689	2,290	2,519	2,791	2,752	9,650	10,352	11,123
Pre-tax profit	2,326	2,451	2,681	2,801	2,408	2,636	2,909	2,870	10,258	10,823	11,595
Net profit	1,647	1,705	1,916	2,052	1,716	1,835	2,047	2,114	7,320	7,712	8,266
Basic EPS (TWD)	5.62	5.82	6.54	7.00	5.86	6.26	6.99	7.22	24.98	26.32	28.21
Margin											
Gross margin	59.1%	59.4%	59.5%	59.7%	59.3%	59.5%	59.8%	59.8%	59.4%	59.6%	59.8%
Operating margin	28.1%	29.9%	31.3%	32.0%	29.6%	30.4%	32.1%	30.9%	30.4%	30.8%	31.2%
Pre-tax margin	31.8%	31.4%	32.7%	33.3%	31.1%	31.9%	33.5%	32.2%	32.3%	32.2%	32.5%
Net margin	22.5%	21.8%	23.4%	24.4%	22.2%	22.2%	23.6%	23.7%	23.1%	22.9%	23.2%
YoY											
Revenue	0.4%	1.3%	12.1%	9.5%	6.0%	6.0%	6.0%	6.0%	5.8%	6.0%	6.1%
Gross profit	2.0%	1.6%	13.6%	10.8%	6.3%	6.1%	6.5%	6.1%	7.0%	6.3%	6.4%
Operating profit	-1.3%	-2.4%	20.4%	16.5%	11.5%	7.7%	8.6%	2.4%	8.2%	7.3%	7.5%
Pre-tax profit	-1.3%	46.1%	12.8%	-0.2%	3.5%	7.6%	8.5%	2.5%	11.3%	5.5%	7.1%
Net profit	-7.4%	47.9%	12.2%	4.5%	4.2%	7.6%	6.9%	3.0%	10.9%	5.4%	7.2%
QoQ											
Revenue	-4.8%	6.9%	5.0%	2.5%	-7.9%	6.9%	5.0%	2.5%			
Gross profit	-4.7%	7.5%	5.2%	2.8%	-8.5%	7.3%	5.5%	2.4%			
Operating profit	-11.0%	13.9%	9.8%	4.7%	-14.8%	10.0%	10.8%	-1.4%			
Pre-tax profit	-17.1%	5.4%	9.4%	4.5%	-14.0%	9.5%	10.3%	-1.3%			
Net profit	-16.1%	3.5%	12.4%	7.1%	-16.4%	6.9%	11.6%	3.3%			

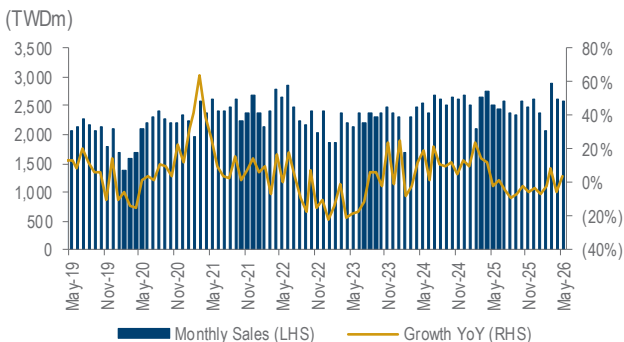
Source: Company, Daiwa forecasts

Global PVC price


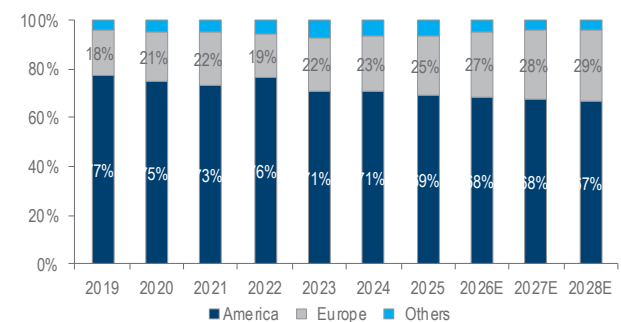
Source: Bloomberg

Nien Made: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Nien Made: monthly sales


Source: Company

Nien Made: geography mix


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Ready-Made (TWDm)	9,438.1	8,974.9	6,728.3	7,383.8	7,192.6	7,192.6	7,192.6	7,192.6
Custom-Made (TWDm)	18,618.3	18,818.4	19,108.5	20,970.0	21,877.4	23,627.6	25,517.8	27,559.2
Others (TWDm)	976.6	1,158.1	1,076.5	1,181.4	899.1	899.1	899.1	899.1

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
America	21,190	22,042	19,049	20,897	20,639	21,671	22,754	23,892
Europe	6,456	5,358	5,945	6,653	7,454	8,572	9,430	10,373
Other Revenue	1,379	1,552	1,919	1,985	1,876	1,476	1,426	1,386
Total Revenue	29,024	28,951	26,913	29,535	29,969	31,719	33,609	35,651
Other income	0	0	0	0	0	0	0	0
COGS	(13,224)	(13,055)	(11,981)	(12,630)	(12,346)	(12,871)	(13,578)	(14,332)
SG&A	(7,869)	(8,324)	(7,780)	(8,366)	(8,551)	(9,008)	(9,478)	(9,982)
Other op.expenses	(178)	(205)	(182)	(172)	(155)	(190)	(202)	(214)
Operating profit	7,754	7,368	6,970	8,368	8,917	9,650	10,352	11,123
Net-interest inc./(exp.)	(7)	61	443	619	555	471	471	471
Assoc/forex/extraord./others	(288)	1,021	620	491	(256)	136	0	0
Pre-tax profit	7,459	8,450	8,033	9,477	9,215	10,258	10,823	11,595
Tax	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,564)	(2,706)	(2,899)
Min. int./pref. div./others	(243)	99	(162)	(215)	(335)	(373)	(405)	(430)
Net profit (reported)	5,320	6,173	5,488	6,903	6,601	7,320	7,712	8,266
Net profit (adjusted)	5,320	6,173	5,488	6,903	6,601	7,320	7,712	8,266
EPS (reported)(TWD)	18.155	21.067	18.728	23.558	22.528	24.981	26.320	28.209
EPS (adjusted)(TWD)	18.155	21.067	18.728	23.558	22.528	24.981	26.320	28.209
EPS (adjusted fully-diluted)(TWD)	18.155	21.020	18.682	23.493	22.477	24.934	26.270	28.156
DPS (TWD)	11.000	11.000	12.000	14.500	16.000	17.487	18.424	19.747
EBIT	7,754	7,368	6,970	8,368	8,917	9,650	10,352	11,123
EBITDA	8,624	8,327	7,919	9,423	9,976	10,818	11,641	12,536

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	7,459	8,450	8,033	9,477	9,215	10,258	10,823	11,595
Depreciation and amortisation	870	959	949	1,056	1,059	1,168	1,289	1,413
Tax paid	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,564)	(2,706)	(2,899)
Change in working capital	(1,332)	299	1,325	130	(447)	(283)	(369)	(380)
Other operational CF items	942	(408)	(1,041)	243	(496)	(471)	(471)	(471)
Cash flow from operations	6,043	6,924	6,882	8,547	7,052	8,107	8,567	9,258
Capex	(1,050)	(1,564)	(817)	(1,879)	(1,541)	(2,000)	(2,000)	(2,000)
Net (acquisitions)/disposals	4	90	11	11	142	0	0	0
Other investing CF items	(82)	(305)	687	(611)	(214)	0	0	0
Cash flow from investing	(1,129)	(1,778)	(119)	(2,478)	(1,613)	(2,000)	(2,000)	(2,000)
Change in debt	(2,100)	(2,817)	0	417	188	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(2,930)	(3,223)	(3,223)	(3,516)	(4,249)	(4,688)	(5,124)	(5,399)
Other financing CF items	(249)	(124)	(123)	86	(425)	0	0	0
Cash flow from financing	(5,279)	(6,165)	(3,346)	(3,014)	(4,486)	(4,688)	(5,124)	(5,399)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(365)	(1,019)	3,417	3,055	953	1,418	1,443	1,859
Free cash flow	4,993	5,360	6,065	6,668	5,511	6,107	6,567	7,258

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	10,424	9,373	12,820	15,857	16,872	18,291	19,733	21,592
Inventory	4,625	5,718	4,104	4,066	3,678	3,989	4,127	4,399
Accounts receivable	2,993	2,402	2,624	2,865	3,045	3,150	3,376	3,561
Other current assets	1,320	1,742	1,671	1,773	1,909	1,909	1,909	1,909
Total current assets	19,363	19,236	21,219	24,560	25,504	27,337	29,145	31,460
Fixed assets	7,447	8,588	9,046	10,588	11,494	12,581	13,573	14,470
Goodwill & intangibles	105	326	171	78	250	250	250	250
Other non-current assets	2,479	2,403	2,175	2,632	2,778	2,778	2,778	2,778
Total assets	29,394	30,554	32,611	37,858	40,025	42,946	45,745	48,957
Short-term debt	2,817	0	0	402	571	571	571	571
Accounts payable	794	848	804	963	749	881	877	953
Other current liabilities	5,781	5,727	4,917	5,322	4,824	4,824	4,824	4,824
Total current liabilities	9,393	6,575	5,721	6,687	6,144	6,276	6,272	6,349
Long-term debt	0	0	0	402	530	530	530	530
Other non-current liabilities	2,102	2,196	2,460	2,689	2,941	2,941	2,941	2,941
Total liabilities	11,495	8,771	8,181	9,777	9,616	9,748	9,744	9,820
Share capital	2,930	2,930	2,930	2,930	2,930	2,930	2,930	2,930
Reserves/R.E./others	14,570	18,553	21,043	24,681	27,074	29,863	32,667	35,802
Shareholders' equity	17,500	21,483	23,973	27,611	30,004	32,793	35,597	38,732
Minority interests	399	300	457	470	405	405	405	405
Total equity & liabilities	29,394	30,554	32,611	37,858	40,025	42,946	45,745	48,957
EV	94,909	93,044	89,754	87,535	86,752	85,333	83,890	82,031
Net debt/(cash)	(7,607)	(9,373)	(12,820)	(15,053)	(15,771)	(17,189)	(18,632)	(20,491)
BVPS (TWD)	59.723	73.316	81.815	94.229	102.395	111.915	121.482	132.182

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.9	(0.3)	(7.0)	9.7	1.5	5.8	6.0	6.1
EBITDA (YoY)	11.5	(3.4)	(4.9)	19.0	5.9	8.4	7.6	7.7
Operating profit (YoY)	11.4	(5.0)	(5.4)	20.1	6.6	8.2	7.3	7.5
Net profit (YoY)	10.9	16.0	(11.1)	25.8	(4.4)	10.9	5.4	7.2
Core EPS (fully-diluted) (YoY)	10.9	15.8	(11.1)	25.8	(4.3)	10.9	5.4	7.2
Gross-profit margin	54.4	54.9	55.5	57.2	58.8	59.4	59.6	59.8
EBITDA margin	29.7	28.8	29.4	31.9	33.3	34.1	34.6	35.2
Operating-profit margin	26.7	25.4	25.9	28.3	29.8	30.4	30.8	31.2
Net profit margin	18.3	21.3	20.4	23.4	22.0	23.1	22.9	23.2
ROAE	32.4	31.7	24.1	26.8	22.9	23.3	22.6	22.2
ROAA	18.6	20.6	17.4	19.6	17.0	17.6	17.4	17.5
ROCE	37.6	34.7	30.2	31.4	29.5	29.3	29.0	28.8
ROIC	57.5	46.7	40.8	51.0	48.5	47.2	46.5	46.3
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	25.4	28.1	29.7	24.9	24.7	25.0	25.0	25.0
Accounts receivable (days)	36.2	34.0	34.1	33.9	36.0	35.6	35.4	35.5
Current ratio (x)	2.1	2.9	3.7	3.7	4.2	4.4	4.6	5.0
Net interest cover (x)	1,070.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	60.6	52.2	64.1	61.5	71.0	70.0	70.0	70.0
Free cash flow yield	4.9	5.2	5.9	6.5	5.4	6.0	6.4	7.1

Source: FactSet, Daiwa forecasts

Company profile

Founded in July 2007 and listed on Taiwan's main board in December 2015, Nien Made Enterprise (Nien Made) produces window coverings such as venetian blinds, shutters and shades (ie, cellular shades, roller blinds and roman blinds). Its major clients include dealers, designers and small specialty stores as well as big box retailers (ie, Home Depot and Wal-Mart).

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	2 Its CEO and Chairman is the same person. Also, 3 brothers, with 1 being the CEO (Chairman) and 2 being Vice President, are in charge of different divisions, managing and collaborating collectively, which we view as a positive sign for solid corporate governance.
	Capital management	2 Nien Made's dividend payout ratio was c.80% before 2019, but dropped to 52-71% from 2019 to 2025, which we attribute to its capacity expansion plans in Mexico and some adjustment for COVID-19.
	Related party & transaction	2 Revenue from related-party transactions stood at c.60% of total revenue over 2022-25, with majority from Norman International Inc. and its subsidiary. We see no evidence of suspicious activities.
E	Product design & lifecycle management	1 We note Nien Made has improved its quality, safety and efficiency throughout its product lifecycle. The company has developed its own B2B platform for its customers for a better user experience and efficiency. Nien Made's products have a lifespan ranging from 10 to 20 years. Therefore, in addition to controlling production conditions through equipment such as drying kilns and controlled-environment storage, Nien Made also focus on mitigating consumers' health and safety risks.
S	Supply chain management	2 Nien Made's overall local-to-local raw material sourcing was at 71% in 2023, which we believe will help reduce transportation costs in the long term. Moreover, Nien Made established supplier management policies and relevant regulations, and its 234 suppliers signed the Supplier Code of Conduct as of 2023.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 24 Jun 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.51%
Hold**	19.39%
Sell***	7.10%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 31 March 2026.

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* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

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